

Britain's 1986 Big Bang: how state-led financial deregulation durably boosted inequality and hampered long-term economic welfare in the UK

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ABSTRACT

The deregulation of Britain's financial sector has long been praised for its success in times of high inflation and stagnating economic growth. However, increasing attention has been given to the larger implications of financialisation on economic and social welfare. This study examines the effects of Britain's 1986 Big Bang on inequality and economic welfare. Using the synthetic controls method, I find that the Big Bang caused a 5.3 percentage point increase in living standards inequality in the UK, relative to a scenario of gradual financial deregulation. Inequality gains rose rapidly until the early 1990s and have since stabilised around 6 percentage points. These results are statistically significant and robust to specification changes, demonstrating strong internal validity (note that results are not externally valid beyond the UK context). Consequently, the Big Bang elevated the UK's relative inequality ranking by 10 places among peer countries. By 2000, Britain was the second-most unequal high-income economy globally, behind the United States; without the Big Bang, it would have ranked twelfth. Furthermore, this analysis finds that the economic benefits from the Big Bang disproportionately favoured the highest percentiles of the wealth distribution and were unevenly distributed regionally. The regions that benefited most from the Big Bang have become the most unequal and are now slower-growing than other less-unequal regions. Overall, while Britain's sudden financial deregulation may have accelerated short-term growth, its long-term effects on inequality have likely contributed to the UK's long-run economic slowdown.

INTRODUCTION

On 27th October 1986, the London Stock Exchange (LSE) transitioned from its historic floor-based trading system to a screen-based system, removed price rigidities in securities transactions and dismantled almost all barriers to entry onto the Exchange. Known as the ‘Big Bang’, this ‘City Revolution’ was a series of reforms introduced by the Conservative Thatcher government to eradicate perceived anticompetitive practices in financial markets and re-establish the City of London as a leading global financial centre (Bellringer & Michie, 2014; Davies & Richardson, 2010). By 2008, the financial sector’s GVA represented close to 9% of Britain’s GDP, making the UK’s financial centre the largest in the Group of Seven (G7) as a share of total output, ahead of the United States (OECD, 2024b).

Since then, Britain’s economy has undergone significant ‘financialisation’. This process is defined as a ‘structural transformation of contemporary capitalism’ driven by a ‘new regime of accumulation’ that exponentially derives profits from financial channels rather than the trade and commodity economy (Krippner, 2005, p. 174; van der Zwan, 2014, p. 102). Fundamentally, growth has been increasingly driven by returns on financial assets rather than the production of goods or services, progressively shifting capital flows away from the productive economy and towards financial rents (van der Zwan, 2014).

While private-sector ‘financialisation’ has been extensively studied, particularly following the 2007 Global Financial Crisis (GFC), less attention has been given to the ‘penetration of financialised logics and evaluation’ into the formulation of public policies (Chiapello, 2017, p. 27; Erturk et al., 2007). In fact, the dynamics of policymaking have evolved along with financialisation, triggering a radical economic shift away from the post-war social-democratic compromise towards greater financial deregulation. This process is known as ‘state-led financialisation’, or ‘financialised policymaking’ (Copley, 2021a; Karwowski, 2019).

In this respect, Britain’s 1986 Big Bang has long been presented as a crucial stepping stone in the globalisation of financial markets, with the state portrayed as a mere facilitator of financial sector expansion. However, recent research has reinterpreted the role of the state as an integral actor in the Big Bang, as policymakers held strong interests in deregulating the LSE to support the issuance of British sovereign debt (Dutta, 2018). Both the Conservative and New Labour governments are

shown to have been active participants in the rapid deregulation of financial markets, at a pace unmatched by any G7 peer at the time (Davis & Walsh, 2016).

While the deregulation of Britain's financial sector has long been praised for its success in times of high inflation and stagnating economic growth, increasing attention has been given to the broader implications of financialisation on economic and social welfare (Christopherson et al., 2013). In particular, scholarly research suggests that beyond a certain point, financial development can hinder economic growth by heightening financial instability, increasing inequalities and contributing to the misallocation of human capital (Arcand et al., 2012; Cecchetti & Kharroubi, 2015). By the 2007-08 Global Financial Crisis (GFC), Britain had become one of the most unequal industrialised economies in the world in terms of GDP per capita, productivity and income (McCann & Vorley, 2020). Accordingly, scholars have suggested that Britain's economy may be 'overly financialised' (Christensen et al., 2016; Mazzucato, 2014).

Today, Britain suffers from a profound growth problem. The OECD has recently projected the UK to be the 'worst-performing G7 economy' in 2025, marking the culmination of decades of slow investment and productivity growth (Fitzgerald, 2024; OECD, 2024a). In real terms, mean GDP per capita in Britain was lower in 2022 than in 2008, the largest output per capita deterioration among G7 peers since the GFC (Ridpath, 2024). Simultaneously, a growing body of evidence points towards high inequality having a considerably negative effect on long-run economic growth (Alesina & Rodrik, 1994; Perelman, 2008). To what extent is the vast slowdown in living standards growth attributable to Britain's path of financial deregulation?

This is a crucial question from a policy perspective, as UK Chancellor Rachel Reeves has called for reforms to the financial services sector to help drive growth (HM Treasury, 2024a, 2024b). In her Spring 2025 Statement, the Chancellor expressed the need for a 'mindset shift on regulation', stating that 'every regulator has to play a part by tearing down the regulatory barriers that hold back growth' (Brenton, 2025; HM Treasury, 2025). A group of fifty economists and policy experts, including Nobel laureate Joseph Stiglitz, responded to the Chancellor's plans in an open letter, highlighting the risks that further financial deregulation could pose to the larger economy. They argue that it is not financial sector growth in itself that matters, but rather its ability to support the wider economy (Delaney et al., 2025; Stewart, 2024).

The objective of this research is to assess the effects of the 1986 Big Bang as the starting shock in financialised policymaking on inequality gains in Britain, and its implications for the broader economy. Using state-of-the-art empirical methods and data, I present novel insights to bridge the financialisation of the state and financial deregulation literatures.

I. LITERATURE REVIEW

A. Britain's 1986 Big Bang

The 'Big Bang' refers to a series of reforms enacted on 27th October 1986 that drastically liberalised the London Stock Exchange. The reforms scrapped the old floor-based trading system, abandoned monopolistic fixed commissions on securities trading, and removed most barriers to entry for foreign firms (Davies & Richardson, 2010; Plender, 1986). The Big Bang also eliminated the single capacity system, which historically separated the roles of brokers (who bought and sold bonds to non-members of the LSE in exchange for a commission) and jobbers (who quoted the market price of securities) (Bellringer & Michie, 2014).

Primary literature from 1986 reveals contrasting perceptions of the Big Bang. While the British press described this 'major reform' as 'The City Revolution', some American outlets stated that 'unlike the event that started the universe, the UK's Big Bang is more evolution than explosion' (Bank of England, 1987; Financial Times, 1986; O'Connor, 1986). This is because preparations for the Big Bang effectively started in 1983, when the LSE reached an agreement with the Thatcher government to implement a series of fundamental changes to its rules by October 1986 to comply with the 1973 Fair Trading Act (Copley, 2021c).

However, despite the gradual political construction of the LSE's liberalisation, its enactment was truly abrupt and radical. While all industrialised economies liberalised their financial markets and dismantled restrictions from the early 1970s, these deregulations were mostly gradual and implemented incrementally over several decades (Williamson & Mahar, 1998). The singularity of Britain's financial deregulation lies in the speed and scale of regulatory change, with Big Bang reforms occurring virtually overnight (Tanndal & Waldenström, 2018).

The immediate effects of the Big Bang were substantial. First, the reforms eliminated the LSE's restrictive practices and opened it to new members, facilitating the entry of foreign firms. This led to a surge in competition and a 30% drop in transaction costs for large trades between 1986 and 1987 (Copley, 2021c). Second, the Big Bang substantially increased the volume of trading on the LSE, quadrupling the average daily turnover of UK equities from £500 million in 1986 to £2 billion in 1995 (Laurence, 2001). These reforms also facilitated the growth of cross-border securities trading, positioning the City of London as a global financial hub (Bellringer & Michie, 2014). Finally, the Big Bang contributed to the strong growth of Britain's financial sector, reaching

close to 9% of total GDP in 2007, making it the fifth-largest industry in the UK as a share of total gross value added (ONS, 2024).

Scholars have since framed the 1986 Big Bang as an ‘archetypal case of state propulsion of financialisation’ (Copley, 2021c). Indeed, domestic state interests were central to the Big Bang as the LSE is the principal market for UK government bonds, or gilts. By the 1980s, the state’s increasing debt issues incentivised policymakers to revise the LSE’s membership and trading rules to expand the size and liquidity of the market for UK sovereign debt, mainly purchased by pension, insurance, and investment funds (Copley, 2021c, p. 112; Dutta, 2018, p. 4). As such, successive British governments are shown to have played a much more active role in the deregulation and financialisation of the UK economy than previously acknowledged, much faster than any other G7 economy at the time (Davis & Walsh, 2016). The ‘Treasury view’ shared by HM Treasury, the Bank of England, and City of London staff opposed extensive state intervention and large public industries, favoured free trade and international markets, and supported the growth of UK financial services (Davis & Walsh, 2016; Macpherson, 2014).

B. The financial deregulation and inequality nexus

A growing body of research has explored the link between financial deregulation and inequality, building on several interconnected mechanisms.

First, the literature distinguishes two opposing effects of financial deregulation on inequality. At the extensive margin (i.e. access to financial markets), financial deregulation increases the availability of financial services to individuals previously excluded from financial markets, for instance, due to price constraints (Greenwood & Jovanovic, 1990). This develops economic opportunities for those previously excluded from financial services, reducing inequalities. Conversely, at the intensive margin (i.e. rates of returns from financial services), financial deregulation enhances financial returns for those already participating in financial markets, who are disproportionately top income earners, thereby increasing inequalities (Demirgüç-Kunt & Levine, 2009).

Using the synthetic controls method, Tanndal and Waldenström (2018) find that financial deregulation in the UK increased the top percentile income share by approximately 20% relative to a scenario where the Big Bang had not occurred. This confirms previous findings that financial

deregulation boosts wage earnings for financial sector employees, who are disproportionately represented at the top of the income distribution (Bell & Van Reenen, 2013; Boustanifar et al., 2016; Philippon & Reshef, 2013). Indeed, Delestre et al. (2024) find that the UK's financial sector employment distribution is the most extreme among European economies. While financial services employ around 3% of the UK population, they employ 29% of the top 1% and 44% of the top 0.1% of the income distribution (Haffert et al., 2024).

Furthermore, financial deregulation has affected inequality through the financialisation of welfare. Marking a departure from the post-war Beveridge model of social democracy, this shift aimed to safeguard the political legitimacy of policymakers amid the socioeconomic crises of the 1980s (Copley, 2021b). This facilitated the rise of privatised welfare services (e.g. the 1992 Private Finance Initiative outsourced some public services such as hospitals), asset-based welfare (e.g. the 1980 Right to Buy scheme shifted housing provision from public to mortgage finance), and individualised financial products (e.g. student loans gradually replaced government grants in higher education). More recently, social impact bonds have introduced risk, return and efficiency metrics into welfare provision, incentivising cost-cutting measures that further exacerbate inequality (Barman, 2015).

In this respect, financial deregulation catalysed Britain's transition from industrial to financial capitalism, transferring economic and negotiating power from the industrial to the financial sector (Aglietta, 2017; Flamencourt, 2024). This reorientation has prioritised the interests of financial elites over industrial or civil society actors, accelerated income transfers from the real sector to the financial sector, and deepened wealth and income inequalities (Palley, 2007; Zalewski & Whalen, 2010). For instance, Power and Epstein (2002) report that financial profits rose from around 15% of total profits in the 1960s to 30% during the 1980s-90s in OECD countries.

Overall, these developments underpin a new model of state intervention. Often described as 'privatised Keynesianism', this regime encourages individuals to take on debt to stimulate economic growth in place of direct government spending (Crouch, 2009; Flamencourt, 2024). Accordingly, Perelman (2008, 45) argues that 'nothing has contributed to imbalances in the economy so much as the outlandish expansion of financialisation'.

C. Measuring inequality: the Gini coefficient

Social scientists have developed various statistical measures to measure inequality. These include the S80/S20 ratio (richest 20% versus poorest 20%), the P90/P10 ratio (90th percentile versus 10th percentile), and the Palma ratio (richest 10% versus poorest 40%). The Gini coefficient, developed by Italian statistician Corrado Gini and based on the earlier 'Lorenz curve' by American economist Max O. Lorenz, remains the most widely used today (Ceriani & Verme, 2012).

The Gini coefficient offers many advantages. First, it is normatively neutral, meaning it quantifies inequality without adopting a specific ethical stance, unlike Rawlsian or utilitarian social welfare functions. Second, it provides a single, easily interpretable summary statistic of income dispersion, facilitating in-time and in-space comparisons (Farris, 2010). Third, it captures changes across the entire income distribution, unlike income shares that focus on the extremes. Finally, its scale ranges from 0% (perfect equality) to 100% (perfect inequality), enabling straightforward cross-country comparisons (Charles et al., 2022).

However, the Gini coefficient has several limitations. First, it compresses the entire distribution into a single value, which means that two different Lorenz curves can yield the same Gini coefficient. Thus, it is particularly sensitive to changes in the middle of the distribution, potentially overlooking shifts at the extremes (Osberg, 2017). Second, the Gini index is a relative measure, meaning it can rise while absolute poverty falls. In this case, everyone is getting richer, but not at the same pace (World Bank Data, 2025). Finally, as income distributions are unique to subgroups, the Gini index is not additive across income or regional groups (Pyatt, 1976; World Bank Data, 2025).

II. THEORETICAL FRAMEWORK AND CONTRIBUTION

To assess the effects of financial deregulation on inequality, this study closely builds on Tanndal and Waldenström (2018), who analyse the impact of financial market deregulation on top income shares in Britain and Japan. Although many other high-income countries liberalised financial markets during this period (see Table 4 in the Annexe), the UK's Big Bang is unique in its abruptness and suddenness, making it a quasi-natural experiment. Therefore, I analyse the treatment effects of the Big Bang on inequality relative to a more gradual process of financial deregulation.

While the existing literature has effectively conceptualised the role of the state in enabling financial deregulation (Davis & Walsh, 2016; Dutta, 2018), less attention has been given to how financialised policymaking affects economic welfare outcomes (Amable et al., 2019; Chiapello, 2017). Additionally, although empirical research has identified the causal effects of Britain's Big Bang on top income shares, its effects on aggregate inequality levels and the larger welfare implications of this remain understudied (Tanndal & Waldenström, 2018).

Thus, this study intends to contribute to the existing literature by providing a fresh perspective on the causal effects of the Big Bang on long-run inequality gains and economic welfare in the UK. However, it differentiates from the existing literature in one major way. While Tanndal and Waldenström (2018) assess the effects of Big Bang reforms on top income shares, this study focuses on living standards inequality. The rationale behind this is twofold. First, while studying top income shares may inform top income taxation policies, it does not shed light on structural economic disparities in the larger income distribution. Second, aggregate inequality levels offer deeper insights into structural disparities in resource allocation or misallocation, a crucial indicator of economic resilience and growth, on which the effects of inequality have been extensively studied. Thus, studying the effects of financialised policymaking on inequality serves important policy implications toward the UK's current growth crisis.

Furthermore, while Tanndal and Waldenström (2018) run analyses on inequality rates, this is presented as supplementary evidence for their hypothesis rather than a true empirical study, and no robustness tests are conducted. Additionally, the inequality data they use is based on household income distributions (Solt, 2020). However, consumption distributions are widely considered a better measure of welfare. This is because consumption data is more stable and less prone to

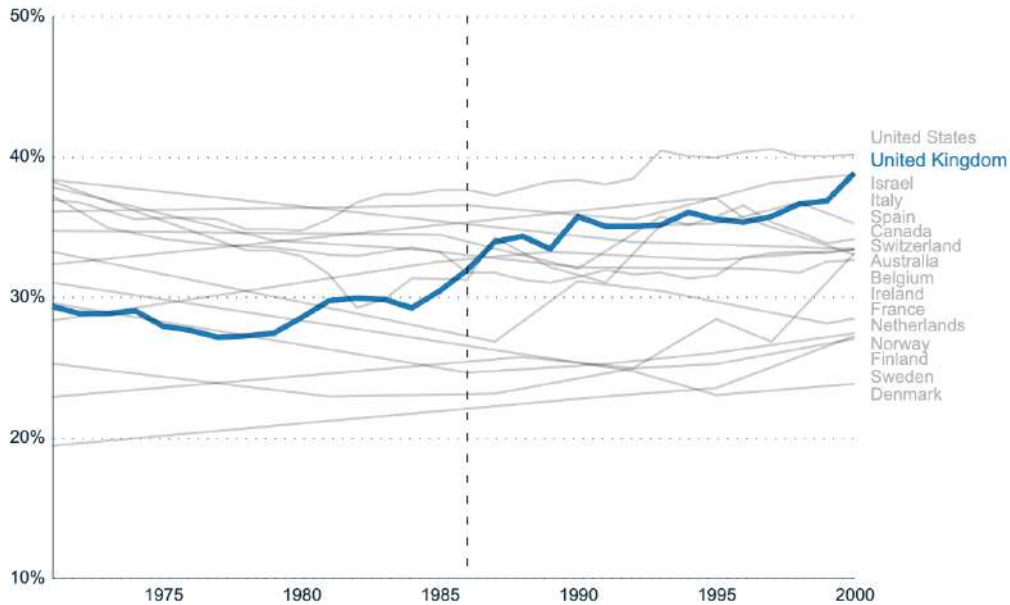
underreporting, whereas income data may fluctuate significantly due to temporary changes in employment status. Income measures may also miss non-monetary benefits and informal exchanges captured in consumption data (Meyer & Sullivan, 2003). Thus, the consumption-based Gini index used in this analysis is considered a more consistent measure of inequality than previous analyses (World Bank Data, 2025).

III. METHODOLOGY

A. Motivation for using the synthetic control method

This study assesses the impact of Britain's 1986 Big Bang as a policy shock of state-led financial deregulation on living standards inequality measured by the Gini coefficient of consumption distributions. Given the historical nature of this event, any identification design can only be quasi-experimental. Figure 1 presents the evolution of the Gini index in the UK and in a set of peer high-income countries, referred to as the 'donor pool'. This study aims to assess the treatment effects of the Big Bang (dashed line on Figure 1) relative to untreated control countries.

Figure 1. Gini coefficient (in %): UK vs donor pool countries (1970-2000)



Note: A Gini index of 0 represents perfect equality, while 100 implies perfect inequality. Some countries exhibit linear interpolation between data points for certain years due to missing data.. The dashed vertical line represents the 1986 Big Bang.

Source: Own elaboration.

One approach would be to run a simple cross-country panel regression estimating the effects of Britain's Big Bang on the Gini index, using several control variables. However, this method is flawed since there is a single treatment unit (the UK), and pre-treatment characteristics largely differ among controls (peer countries). Thus, the key challenge in this analysis is to find a valid counterfactual for the UK.

A second, more informed strategy would be to run a difference-in-differences estimate, computing the change in outcomes (Gini coefficient) in the treatment group (Britain), and comparing it to the change in outcomes in a well-selected control group (one or many untreated peer countries). However, the key ‘parallel trends assumption’ requires that both treatment and control groups develop in the same way in the absence of treatment. In cross-country studies, this assumption is hardly verifiable, as seen visually in Figure 1. Another more important concern is that standard errors (even clustered) are biased downwards in difference-in-difference settings with a single treatment unit, which may produce spuriously statistically significant results (Conley & Taber, 2011).

To overcome these challenges, I use the synthetic control method (SCM) developed by Abadie, Diamond, and Hainmueller (2010), which enables causal inference in panel data with a single treatment unit. This method is widely regarded as one of the most important innovations in policy evaluation design in recent decades (Athey & Imbens, 2017). The SCM constructs a synthetic counterfactual for the treated unit using a linear combination of control units. Intuitively, this creates a ‘doppelgänger’ version of Britain, an artificial UK that did not experience the Big Bang. This synthetic UK is a far more credible counterfactual than any single country comparator, as the key parallel trends assumption holds. Estimated treatment effects are calculated by the difference between observed and synthetic outcomes. This is the most relevant method to date to tackle this research question.

B. Research design

Following Abadie, Diamond, and Hainmueller (2010), consider a sample with $N + 1$ units, where $i = 1$ is the treated unit (Britain, exposed to the Big Bang) and all other units $i = 2, \dots, N + 1$ are the control units forming the donor pool (peer countries, unexposed to the shock). Let Y_{it} be the outcome of interest (Gini coefficient) for unit i in period t , expressed as:

$$Y_{it} = Y_{it}^1 D_{it} + Y_{it}^0 (1 - D_{it}) = Y_{it}^0 + \Delta_{it} D_{it} \quad (1)$$

Where Y_{it}^1 and Y_{it}^0 are the outcomes of unit i in period t with and without treatment, respectively, and D_{it} is a binary marker of treatment, such that $D_{it} = 1$ if unit i is treated in period t and $D_{it} = 0$ otherwise.

Now, let $W = (w_2, \dots, w_{N+1})$ be a column vector of non-negative weights of donor countries that sum to one, such that $0 < w_i < 1$ and $\sum_{i=2}^{N+1} w_i = 1$. Then, the optimal synthetic control W^* that represents the weighted combination of donor units and covariates which best approximates the treated unit's pretreatment characteristics is obtained by minimising the following objective function.

$$\sum_{m=1}^k v_m (X_{1m} - X_{0m} W)^2 \quad (2)$$

Where $m = 1, \dots, k$ indexes all predictor variables, X_{1m} and X_{0m} contain the m^{th} pretreatment predictor of treated and donor units, respectively, and v_m contains the relative weight of the m^{th} pretreatment predictor, i.e. its importance in the synthetic control.

Then, following Abadie, Diamond, and Hainmueller (2015), the optimal matrix of predictor weights V^* is selected such that the resulting synthetic control minimises the root mean squared prediction error (RMSPE) of the outcome variable (Gini coefficient) over the pretreatment period. This cross-validation technique sets the weights v_m to minimise prediction error. The corresponding treatment effects Δ_{it} are the difference between treated (actual UK) and control (synthetic UK) outcome values in the posttreatment period, estimated as follows.

$$\Delta_{it} = Y_{it}^1 - Y_{it}^0 = Y_{1t} - \sum_{i=2}^{N+1} w_i^* Y_{it} \quad (3)$$

Finally, evaluating the statistical significance of SCM treatment effects relies on a series of placebo and robustness tests, exposed in Section IV.

C. Data collection

Financial deregulation modelled by the 1986 Big Bang is the independent variable. Living standards inequality, measured by the Gini index of consumption distributions, is the dependent variable. To isolate the causal path between these two variables, a series of covariates must be chosen to match the treated unit with a combination of control units with similar pretreatment

characteristics. I select predictors by building on and refining the approach by Tanndal and Waldenström (2018).

First, I group the covariates chosen by Tanndal and Waldenström (2018) into four subgroups: economic indicators, financial openness and regulation indicators, political institutions indicators, and education and labour market indicators. Second, I enhance Tanndal and Waldenström's (2018) specification by including additional predictors to minimise omitted variable bias. These include stock market capitalisation, government expenditure ratio, inflation rate, unemployment rate, taxation of income, profits and capital gains, and years of schooling. To avoid excessive loss in degrees of freedom, the SCM algorithm chooses the optimal covariate weights, assigning null weights to some. As such, adding predictors can only make estimates more precise.

Finally, some unobservable characteristics may still influence the causal pathway. Following Abadie, Diamond, and Hainmueller (2010), I include the lagged outcome variable (Gini coefficient) for pretreatment years 1974, 1979 and 1984 as additional covariates. This approach addresses potential omitted variable bias by accounting for the effects of any observed or unobserved predictors, whether explicitly included in the model or not.

Data is collected from the World Development Indicators (World Bank Data, 2023), Global Financial Development Database (World Bank, 2022), Database of Political Institutions (World Bank, 2023), Indicators of Employment Protection (OECD, 2023), Chinn-Ito Index Database (Chinn & Ito, 2008), and Economic Openness Database (Gräbner et al., 2021; La Porta et al., 1997; Quinn & Toyoda, 2008). A descriptive table of predictor variables and their sources is presented in Table 5 in the Annexe.

D. Data sampling and sorting

This section outlines the construction of the donor pool. I begin by identifying the relevant pool of countries to form the synthetic control. While Tanndal and Waldenström (2018) restrict their sample to OECD countries, I include all high-income countries as classified by the World Bank (2024), to maximise sample size.

To ensure sufficient pretreatment data coverage, I begin the sample in 1971, as earlier Gini data is sparse. A 15-year pretreatment window is considered adequate to construct a valid counterfactual

(Abadie et al., 2010). I end the posttreatment period in 2000 to avoid confounding treatment effects from later events, and particularly the financial crises of the late 2000s, consistent with Tanndal and Waldenström (2018).

Next, I exclude countries exposed to confounding policy shocks, as donor pool countries must not have received treatment. Following Tanndal and Waldenström (2018), I exclude the United States due to the 1986 Tax Reform Act occurring the same year as the Big Bang, which significantly reduced top income tax rates, thus impacting inequality. This exclusion prevents conflating the effects of the Big Bang with those of unrelated policy reforms.

The SCM algorithm requires a complete matrix of pretreatment observations. For this reason, I exclude countries with entirely missing Gini or predictor data from the donor pool. For countries with partial gaps in pretreatment predictors, I use linear interpolation to estimate missing values, consistent with Tanndal and Waldenström (2018). I also exclude Chile from the donor pool due to significant scale differences in pretreatment characteristics.

The resulting working dataset spans 39 years (1971-2010) and includes 15 countries, given in Table 1. Descriptive dataset statistics are provided in Table 6 in the Annexe.

Table 1. Working dataset country sample

ID	Country name	ID	Country name	ID	Country name
1	Australia	6	France	11	Norway
2	Belgium	7	Ireland	12	Spain
3	Canada	8	Israel	13	Sweden
4	Denmark	9	Italy	14	Switzerland
5	Finland	10	Netherlands	15	United Kingdom

Source: Own elaboration.

E. Methodological limitations

SCM is the most advanced empirical method available to undertake this research, addressing major concerns arising from other econometric techniques in finding a valid counterfactual. However, several concerns remain valid.

First, SCM relies on a series of assumptions and research decisions, such as the number of pretreatment and posttreatment years, the composition of the donor pool, the selection and quality of covariates, and the method for assigning optimal covariate weights. Researchers have noted that SCM can be sensitive to small changes in these parameters (Firpo & Possebom, 2018). I address these concerns as follows. Country and year samples are chosen to maximise the number of units and observations in the dataset, and no arbitrary cuts have been made. The choice of covariates builds on and refines Tanndal and Waldenström (2018). Finally, the assumptions behind the specification closely follow methodological advice by Abadie (2021).

Second, omitted variable bias could be a potential concern, as many other observable and unobservable variables could influence inequality levels. However, including lagged values of the outcome variable (i.e. the Gini coefficient) for pretreatment years helps mitigate this risk by capturing the influence of both observed and unobserved predictors, whether explicitly included in the model or not (Abadie et al., 2010). The only major concern would be the inclusion of ‘bad controls’, i.e. collider variables that are affected both by the treatment and the outcome, which are not present in this specification.

Third, interpolation bias may arise from estimating missing data points under the assumption of linearity. However, this is unlikely to significantly distort results in this setting, as the donor pool is restricted to high-income countries with broadly similar economic structures and characteristics. Abadie, Diamond, and Hainmueller (2015) show that interpolation bias is mainly a concern when donor units differ substantially from the treated unit, which is not the case in this study.

Finally, SCM relies on the assumption of no interference, meaning there should be no spillover effects from the treatment to control countries. This assumption could be violated if the Big Bang influenced inequality in donor countries. For example, if the newly deregulated LSE disproportionately attracted foreign capital, the Big Bang may have indirectly increased inequalities in foreign countries, potentially contaminating the control group.

However, it is easy to evaluate both the existence and direction of potential spillovers due to the small number of donor countries. If the Big Bang had positive spillover effects on donor countries (increasing Gini inequality), then the synthetic UK’s Gini coefficient would be overestimated, and treatment effects would thus be underestimated. Conversely, a scenario where the Big Bang had negative spillover effects (i.e. lowering inequality in control countries) is highly unlikely. Therefore,

any spillovers could only underestimate treatment effects. This suggests that the true effects of financial deregulation on inequality are likely even greater than those found in this study. Note that spillovers affecting countries unweighted in the optimal synthetic control pose no issue since they do affect estimates.

IV. RESULTS

A. The synthetic UK

Using the previously described methodology, I construct a synthetic counterfactual version of Britain that closely mirrors its pretreatment characteristics. This allows for a credible comparison of posttreatment Gini outcomes following the Big Bang.

First, I use the cross-validation technique to set the optimal covariate weights to minimise the root mean squared prediction error (RMSPE) of the Gini coefficient over the pretreatment period. The algorithm assigns the largest covariate weights to the unemployment rate (36.7%), the 1984 lagged Gini coefficient (32.1%), the strictness of employment protection (10.7%), and the inflation rate (4.6%). The remaining covariates have small weights in the synthetic control (see Table 7 in the Annexe). These results confirm that including additional covariates compared to Tanndal and Waldenström (2018) is relevant, as the explanatory power of the unemployment rate and inflation rate in predicting inequality outcomes appears substantial.

Next, the SCM algorithm assigns optimal weights to donor countries to match the UK's pretreatment Gini trend. The resulting synthetic UK is composed of 32.7% of Canada, 28% of Australia, 26.2% of Belgium, 12.7% of Finland, 3% of France and 1% of Sweden. All other donor pool countries receive null weights (Table 2).

Table 2. Optimal synthetic control weights for the UK

Country	Synthetic control weight (0-1)
Canada	0.327
Australia	0.280
Belgium	0.262
Finland	0.127
France	0.003
Sweden	0.001

Note: Weights from 0 to 1. Denmark, Ireland, Israel, Italy, Netherlands, Norway, Spain, and Switzerland receive zero weights.

Source: Own elaboration.

The resulting synthetic UK is a much more credible counterfactual than the simple average of the 14 donor pool countries, as pretreatment predictor values are significantly closer to those of the actual UK. This is confirmed by a lower standardised mean difference (SMD) for synthetic UK predictors than average predictors, which measures the amount of bias in the estimation. Most covariates fall below the 0.1 SMD threshold, which is considered an acceptable balance in studies with small sample size (see Table 7 in the Annexe) (Hripcsak et al., 2025).

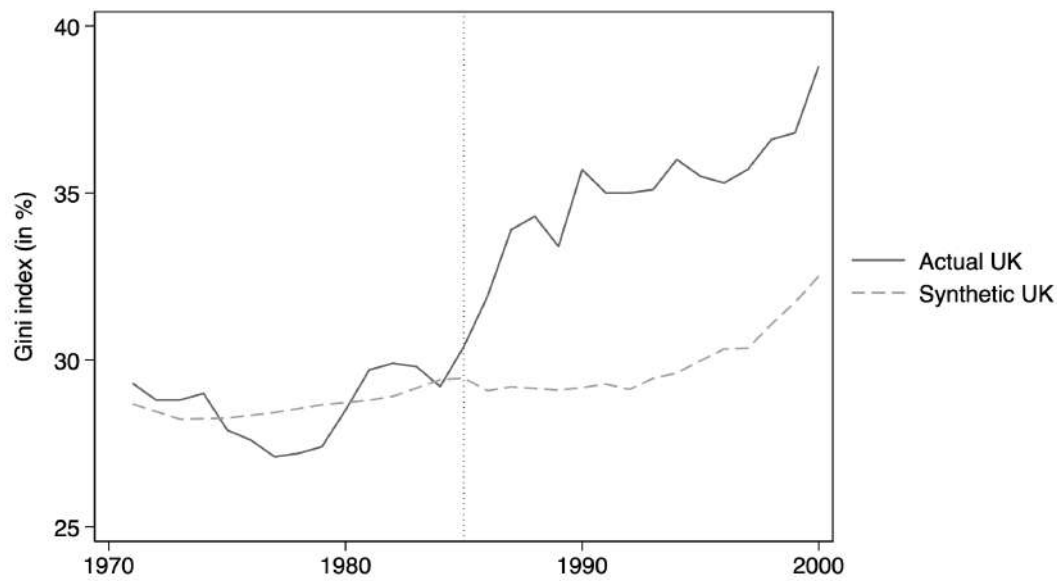
Finally, posttreatment Gini values for the synthetic UK are calculated as weighted averages of the Gini coefficients of weighted countries. For instance, the synthetic UK's Gini coefficient for the year 1986 is 32.7% that of Canada in 1986, 28% that of Australia, and so forth.

B. Treatment effects of the 1986 Big Bang

Figure 2 plots Gini coefficient trends for Britain and its synthetic counterfactual (i.e. a doppelgänger Britain unaffected by the Big Bang) from 1971 to 2000. The synthetic UK's goodness-of-fit over the pretreatment period is not perfect. This discrepancy may either be due to the donor pool being unable to fully replicate the pretreatment variation in Britain's Gini trend, which may be unique within the dataset, or imprecision caused by interpolated data. Nonetheless, the synthetic UK closely tracks the UK's overall Gini trend during the pretreatment period (1970-1986), which is most important for causal inference.

Following the Big Bang in 1986, the UK's Gini trend diverges sharply from its synthetic counterfactual, this gap increasing with time (Figure 2). The divergence seems to appear shortly before 1986, likely due to the counterfactual's imperfect goodness-of-fit. Another explanation could be anticipation effects, as plans for the Big Bang reforms were announced in 1983 (Bank of England 1987). Nonetheless, the post-1986 gap clearly indicates a substantial rise in inequality following the Big Bang, compared to a scenario where financial deregulation had not been so sudden.

Figure 2. Gini coefficient trends: UK vs synthetic UK

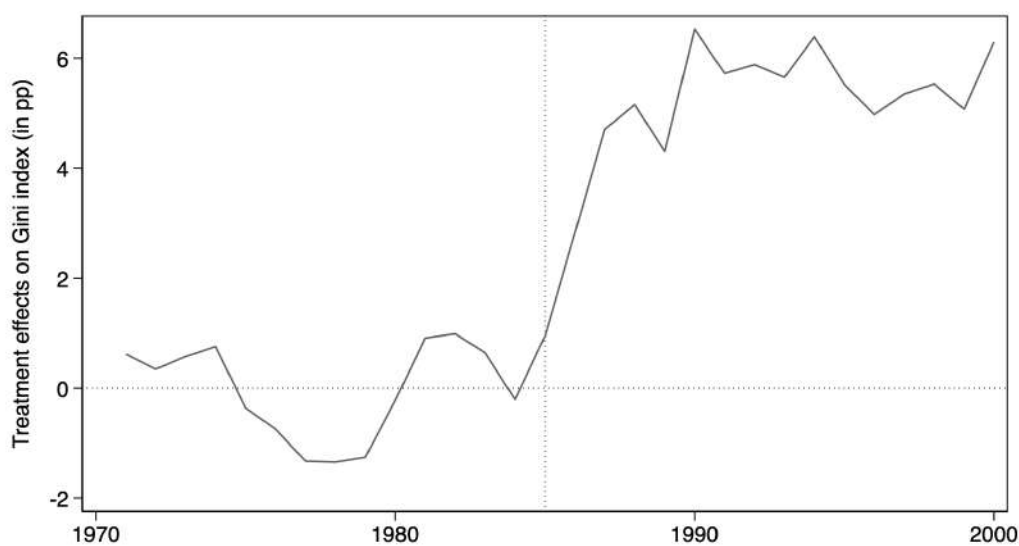


Note: The synthetic UK trend line displays the weighted average Gini values of selected donor countries.

Source: Own elaboration.

Figure 3 presents the estimated treatment effects of the Big Bang on Britain's Gini coefficient, which measures the difference between actual and synthetic UK outcomes. The results show a sustained and significant rise in Gini inequality. On average, the Gini coefficient rose by 5.326 percentage points over the entire posttreatment period. Inequality gains were particularly rapid between 1986 and 1990 and have since stabilised around 6 percentage points. These findings provide strong evidence that the 1986 Big Bang triggered a lasting rise in living standards inequality in Britain.

Figure 3. Gini coefficient treatment effects: UK vs synthetic UK

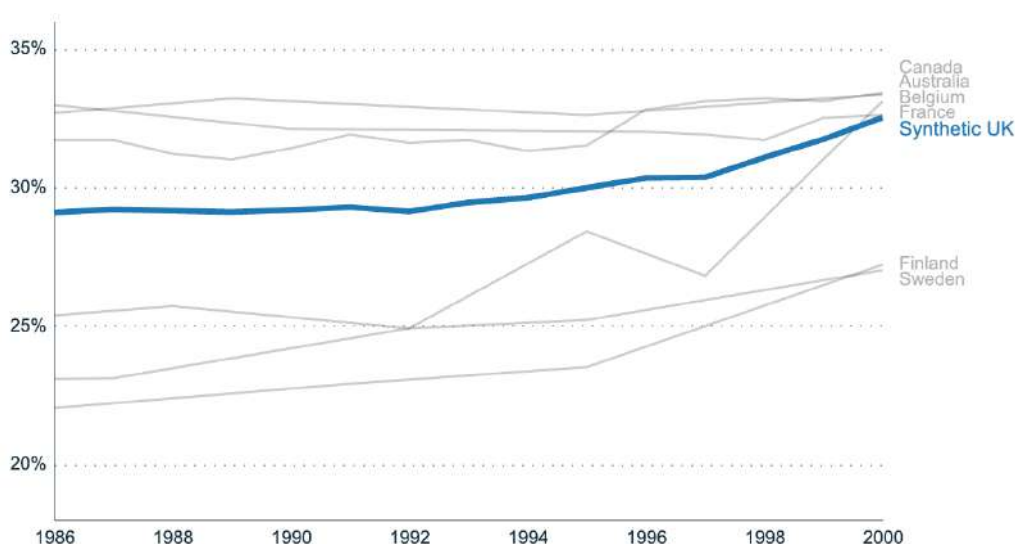


Note: Treatment effects are calculated as the difference between actual and synthetic UK Gini values.

Source: Own elaboration.

To better understand the composition of the synthetic UK and what is driving these results, Figure 4 disaggregates the Gini trends of weighted donor countries in the posttreatment period. The synthetic UK closely follows the Gini trends of Canada, Australia and Belgium, with Finland pulling the overall trend downwards. France and Sweden have negligible influence on the synthetic control due to their small weights.

Figure 4. Weighted donor countries posttreatment Gini trends



Note: The synthetic UK trend line displays the weighted average Gini values of selected donor countries.

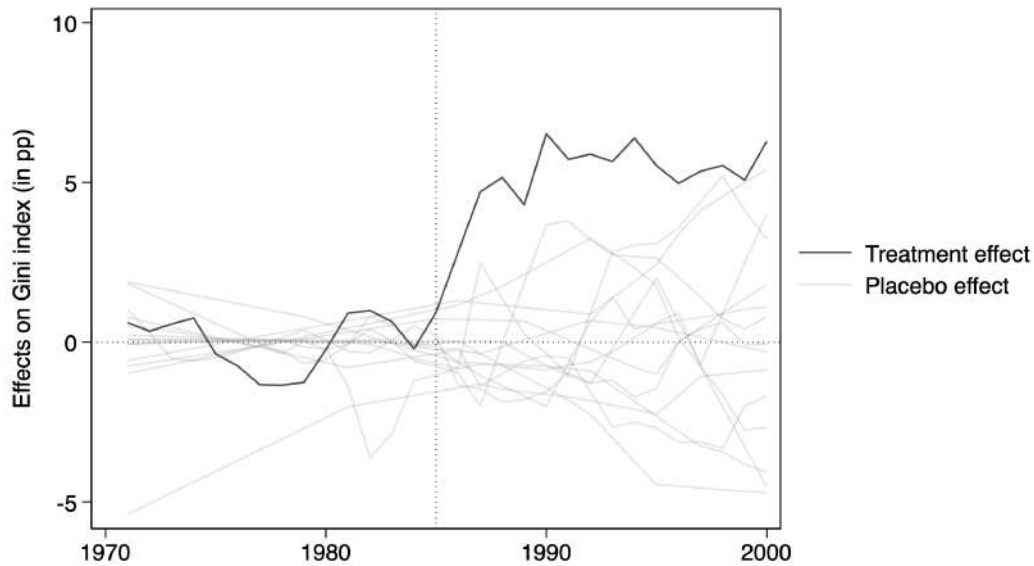
Source: Own elaboration.

C. Placebo tests

To assess the statistical significance of the estimated treatment effects, I conduct a series of placebo tests. First, following Abadie, Diamond, and Hainmueller (2010), I implement an in-space placebo test. To do so, I iteratively assign ‘fake’ treatment to each donor country and estimate the resulting placebo effects. Figure 5 visualises these in-space placebo trajectories. The treatment effects of Britain’s Big Bang are considered statistically significant if they are unusually large relative to the distribution of ‘fake’ placebo effects over the posttreatment period.

For this test, Abadie, Diamond, and Hainmueller (2010) exclude countries with poor pretreatment fit by imposing a mean squared prediction error (MSPE) cutoff. This is because any observed differences in posttreatment periods may be due to poor fit rather than actual treatment effects, hence biasing results. However, I retain all donor countries, as the UK’s treatment effects exceed all placebo effects, regardless of pretreatment MSPE. Excluding countries would reduce the number of placebo comparisons, thus weakening statistical power. These results further confirm the significance of estimates, as they largely exceed any placebo effects, regardless of their pretreatment fit.

Figure 5. In-space placebo test



Note: Placebo effects are estimated by iteratively assigning ‘fake’ treatment to each donor country.

Source: Own elaboration.

The level of statistical significance is given by the right-sided p-value, which is the probability that placebo effects are greater than or equal to observed treatment effects. As Britain’s treatment

effects are the largest among placebo units over the entire posttreatment period, the p-value is 1/15 or 0.0667 (Table 3). This indicates a 6.67% probability that placebo effects exceed true treatment effects. Results are thus significant at the 10% level across all years (or 90% confidence interval). Note that this is the highest level of statistical significance achievable with this dataset, as higher confidence would require a larger donor pool.

Table 3. SCM estimates and p-value statistics

Year	Treatment effect	p-value (right-sided)	Year	Treatment effect	p-value (right-sided)
1986	2.820	0.0667	1994	6.387	0.0667
1987	4.706	0.0667	1995	5.525	0.0667
1988	5.155	0.0667	1996	4.973	0.0667
1989	4.301	0.0667	1997	5.349	0.0667
1990	6.529	0.0667	1998	5.530	0.0667
1991	5.723	0.0667	1999	5.074	0.0667
1992	5.883	0.0667	2000	6.289	0.0667
1993	5.653	0.0667	Mean	5.326	0.0667

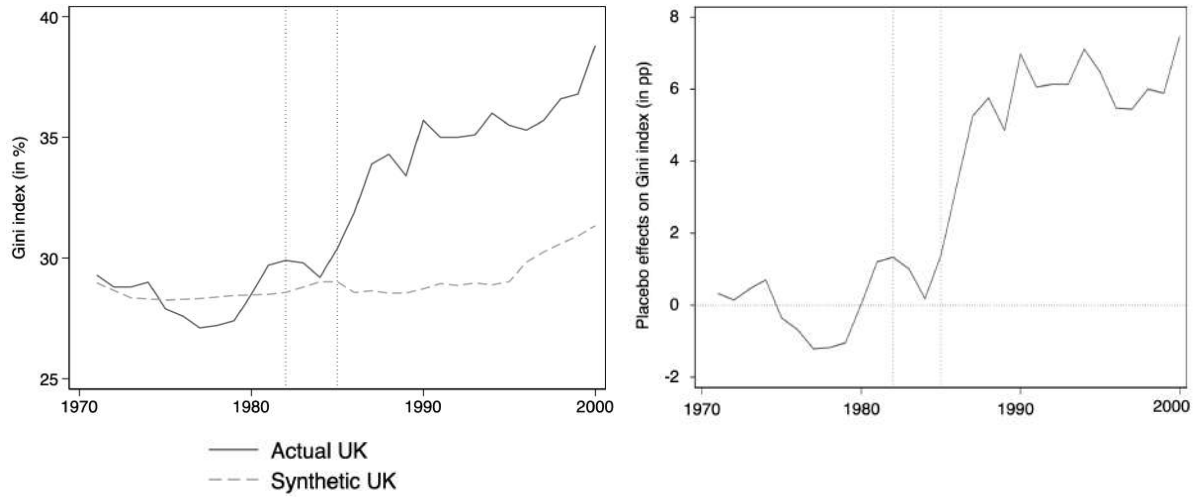
Note: The right-sided p-value of the treatment effect is the frequency that placebo effects are greater than or equal to treatment effects.

Source: Own elaboration.

Second, following Abadie, Diamond, and Hainmueller (2015), I conduct an in-time placebo test by backdating ‘fake’ treatment in 1983, three years before the actual Big Bang. This tests whether the observed effects are significantly driven by pre-existing trends or anticipation effects. Intuitively, finding large, backdated placebo effects would erode confidence in the statistical significance of estimates. To maintain validity, I exclude the 1984 lagged Gini coefficient from the list of covariates, as predictors must be based on pretreatment characteristics.

Figure 6 plots the result of this in-time placebo test. While a small gap appears between the actual and synthetic UK before 1986, this is likely due to the imperfect goodness-of-fit of the synthetic counterfactual, as the gap narrows by 1985 and only diverges meaningfully after 1986, the true treatment year. This supports the conclusion that the Big Bang, and not earlier trends, drove the observed increase in Gini inequality in Britain, which largely discards potential anticipation effects.

Figure 6. In-time placebo test (1983)



Note: Placebo effects are estimated using a 'fake' treatment time of 1983, backdating the true 1986 Big Bang.

Source: Own elaboration.

Together, these in-space and in-time placebo tests confirm the statistical significance of results: Britain's 1986 Big Bang had a clear and substantial effect on increasing Gini inequality in the UK.

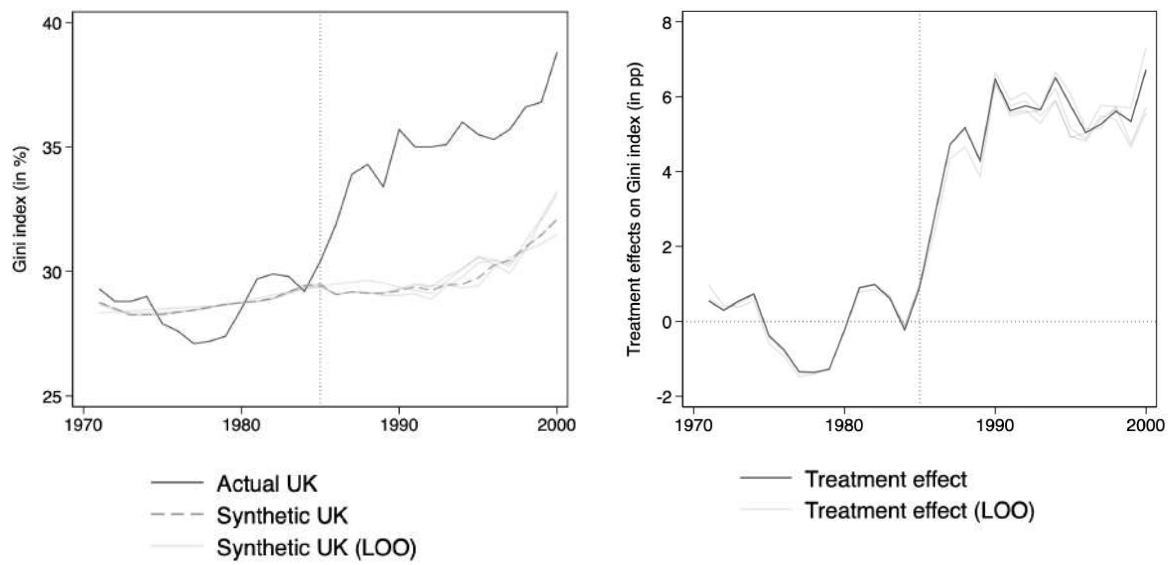
D. Robustness tests

To check the robustness of results, I perform a leave-one-out (LOO) robustness test following the methodology proposed by Abadie, Diamond, and Hainmueller (2015). This test addresses the concern that treatment effects may be disproportionately influenced by a single donor country with positive weights in the synthetic control.

To do so, I iteratively exclude each positively weighted country from the donor pool and re-estimate the corresponding synthetic controls. While sacrificing some goodness-of-fit, this test assesses whether results are significantly influenced by a single weighted control unit. If the resulting LOO synthetic UKs remain similar to the original, then results are considered robust.

Figure 7 presents LOO robustness test results. The alternative LOO synthetic UKs closely track the posttreatment trajectory for the original synthetic UK. This confirms that the findings are not disproportionately driven by any single weighted control unit and are robust to changes in the specification of country and covariate weights.

Figure 7. Leave-one-out robustness test



Note: Each LOO line represents a synthetic UK constructed without one of the positively weighted donor countries.

Source: Own elaboration.

V. DISCUSSION

A. The Big Bang unambiguously increased inequalities in Britain

This study finds clear evidence that the 1986 Big Bang significantly increased inequalities in Britain, compared to a counterfactual scenario of gradual financial deregulation. Specifically, I find that 5.3 percentage points of the average rise in the UK's Gini coefficient between 1986 and 2000 are causally attributable to the Big Bang. Inequality gains surged rapidly until 1990 and then stabilised around 6 percentage points. To interpret this, I examine Lorenz curves, which illustrate the cumulative distribution of disposable income across population deciles. The Gini index measures the area between the Lorenz curve and the hypothetical line of perfect equality.

Figures 8 and 9 plot the UK's Lorenz curves of disposable income before (1977-85) and after (1986-2000) the Big Bang (ONS, 2023). The post-Big Bang Lorenz curve is more convex, indicating greater concentration of income among the wealthiest deciles (Figure 8). During this period, the bottom 25% of the population held approximately 3.1% of total disposable income, while the top 10% held 25% of total income (Figure 9). The income share ratio between these groups thus rose from 6.6 (pre-Big Bang) to 8.1 (post-Big Bang), confirming a sharp rise in inequality.

Figure 8. UK Lorenz curves (disposable income): pre vs post Big Bang

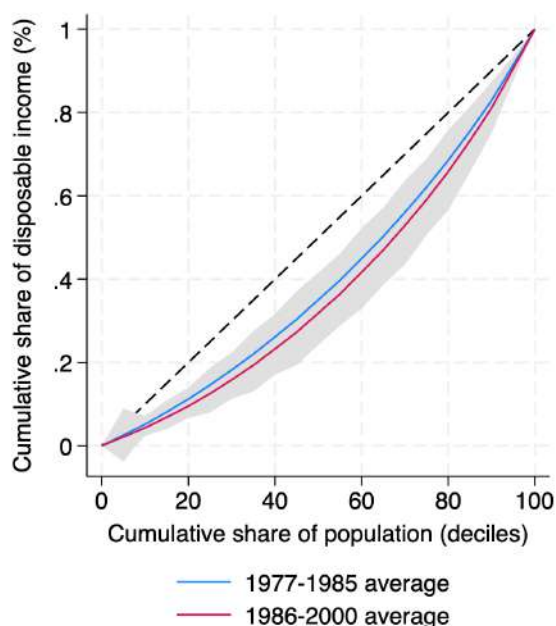
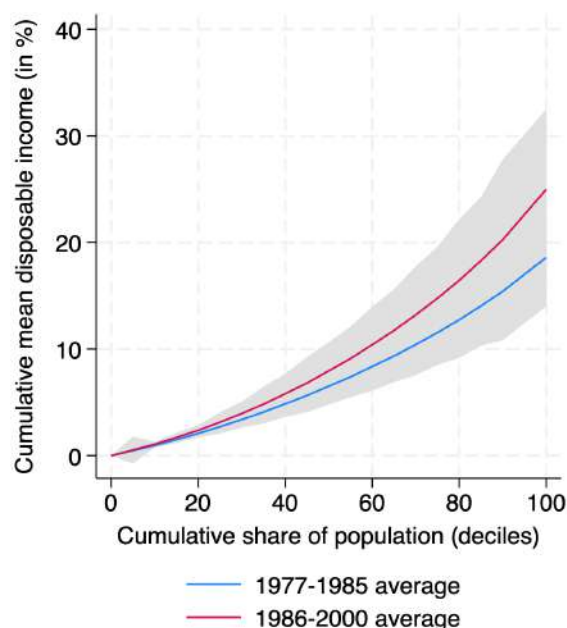


Figure 9. UK generalised Lorenz curves (disposable income): pre vs post Big Bang



Note: Data is split into pre and post Big Bang (starting in 1977). The grey area shows the 95% confidence interval. The dashed line represents perfect income equality. Figures are based on median disposable household income (after taxes and benefits) by decile.

Source: Own elaboration using ONS data.

B. Because of financial deregulation, Britain now ranks as the second-most unequal high-income economy in the world

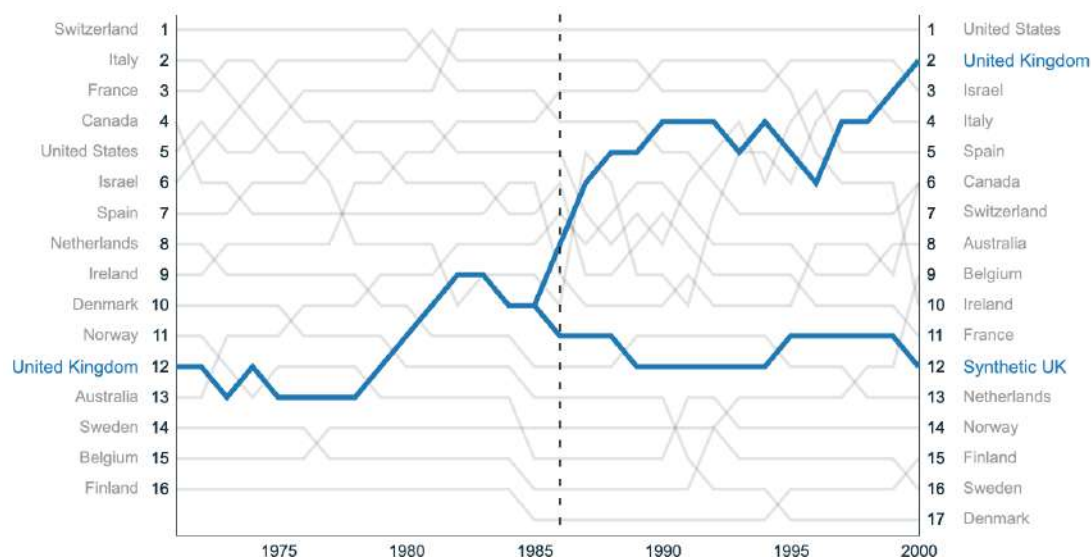
One great advantage of the Gini coefficient is its comparability. One insightful way to understand the effects of the Big Bang in Britain is to compare Gini values with peer countries. Figure 10 ranks the Gini coefficients of donor pool countries (including the US) from 1971 to 2000, from 1 (highest inequality) to 17 (lowest inequality).

In 1970, the UK ranked 12th, meaning it was less unequal than most peers. By 2000, the UK ranked 2nd, making Britain the second-most unequal high-income economy behind the United States. Had the Big Bang not occurred and financial deregulation been more incremental, Britain would have remained 12th, with lower Gini inequality than most peers. Thus, the Big Bang raised Britain's inequality ranking by 10 places relative to peer countries.

The academic literature has long identified the UK as one of the most unequal economies in the world in terms of disposable income, productivity and GDP per capita levels (McCann & Vorley,

2020; Stansbury et al., 2023). However, there is no clear consensus on why this is the case. This study provides fresh evidence that a significant portion of these inequality gains are directly linked to financialised policymaking and the Big Bang.

Figure 10. Gini coefficient ranking (1-17): UK vs donor pool countries (1971-2000)



Note: Gini coefficients are ranked from 1 (highest level of Gini inequality) to 17 (lowest level of Gini inequality).

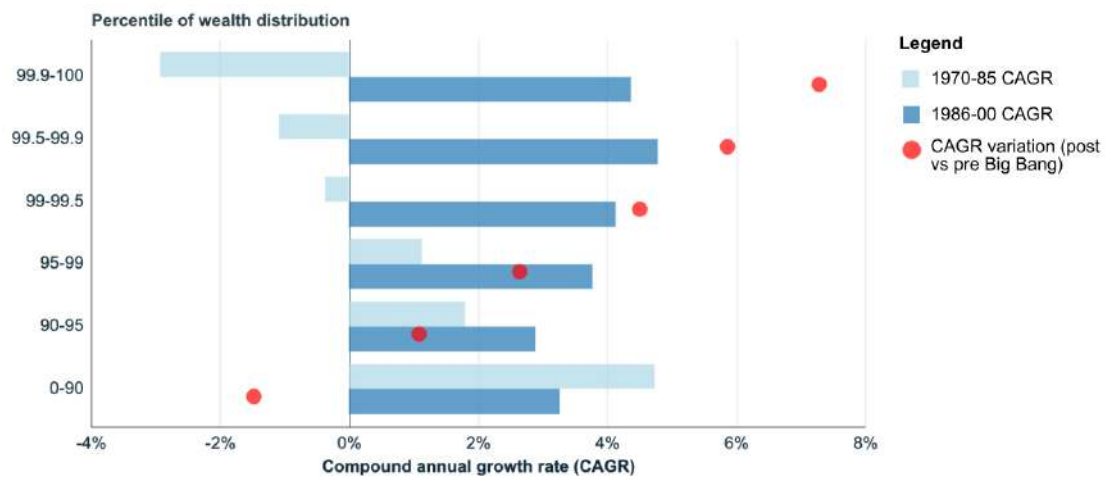
Source: Own elaboration.

C. Economic gains from the Big Bang have disproportionately favoured the highest percentiles of the wealth distribution in a small number of regions

One limitation of the Gini index is that it measures relative inequality and does not indicate where inequalities have increased the most in absolute terms. To better understand the distributional impact of the Big Bang on inequality, I examine changes in wealth by percentile and region.

Using data from the World Inequality Database (Solt, 2020, 2024), Figure 11 plots the compound annual growth rate (CAGR) of net personal wealth across six wealth percentiles before (1977-85) and after (1986-2000) the Big Bang, along with the absolute change in growth rates between these periods.

Figure 11. UK net personal wealth CAGR by percentile (%)



Note: Data is divided into pre and post Big Bang periods. The compound annual growth rate (CAGR) measures the average annual growth of personal wealth over the 1970-85 and 1986-00 periods.

Source: Own elaboration using World Inequality Database data.

Although all percentiles experienced positive net personal wealth growth after the Big Bang (1986-2000), the distribution of gains was highly unequal. Indeed, the absolute variation in wealth growth between the pre- and post-Big Bang periods reveals that wealth gains were disproportionately allocated to the highest wealth percentiles. Specifically, 90% of the population saw a relative decline in wealth growth (-1.8%), while the top percentiles experienced substantial increases. These gains were linearly correlated with their position in the wealth distribution, as wealth grew by 3% for the top 5%, 6% for the top 0.5%, and 7.5% for the top 0.1% of earners.

Thus, while the entire population experienced positive wealth growth, the benefits of financial deregulation were disproportionately concentrated among top earners, leaving 90% of the population relatively worse off. Further analysis of the wealth gains (or losses) for the lower percentiles of the distribution would be insightful, but such data is unavailable before 1997.

Second, I assess regional disparities using historical trend files from the Office for National Statistics (ONS, 2016). Figure 12 illustrates the change in relative disposable income per head across UK regions between pre- and post-Big Bang periods, indexed to the national average. Following the Big Bang, the North West's share of national income decreased by 3.1 percentage points (from 96.1% to 93% of the national average), while the South East's share of national income increased by 5.3 percentage points (from 96.2% to 101.5% of the national average).

Figure 13 shows the change in regional contributions to the UK's aggregate compound annual growth rate (CAGR) between pre- and post-Big Bang periods. Following the Big Bang, the South West's share of national growth declined by 1.4 percentage points (from 9.1% over 1971-1985 to 7.7% over 1986-1995), while London's contribution to total growth increased by 1.1 percentage points over the same period (from 7.2% to 8.3% respectively).

Figure 12. Change in relative disposable income per head: pre vs post Big Bang (in pp)

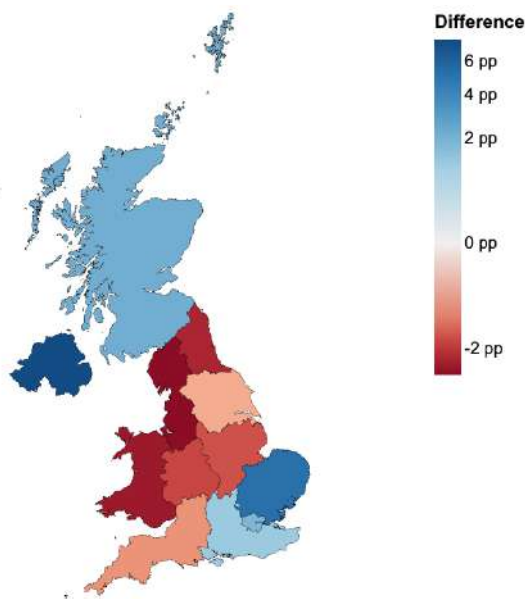
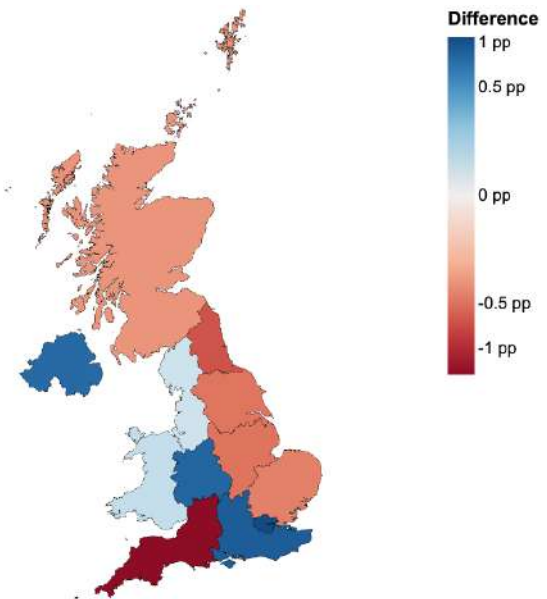


Figure 13. Change in relative contribution to UK growth: pre vs post Big Bang (in pp)



Note: Data is split into pre and post Big Bang periods (1971-85 vs 1986-96). The graphs show the difference in relative disposable income per head (index: UK average = 100) and regional contributions to UK compound annual growth (in percentage points).

Source: Own elaboration using ONS data.

Overall, these findings indicate that the economic gains from the Big Bang were highly geographically concentrated. Financial deregulation has disproportionately benefited London, the South East, and Northern Ireland, increasing their share of disposable income and growth relative to the national average, while most other UK regions experienced relative decline, such as the South West, the Midlands, and the North of England. This supports the view that regional inequality gains are a significant driver of the broader rise in inequality identified in this study, as suggested by Stansbury, Sloan, and Turner (2023).

VI. FURTHER IMPLICATIONS

A. Inequality gains caused by the Big Bang may have contributed to Britain's long-run economic slowdown

The 1986 Big Bang established the City of London as a leading global financial centre, the largest in the G7 as a share of total GVA alongside the United States (OECD, 2024b). As a result, London and the South East have become the UK's fastest-growing regions since the Big Bang (Figure 13).

However, financial sector growth has coincided with a sharp rise in inequality levels. Indeed, the UK now exhibits one of the widest regional productivity divides among advanced economies: productivity in London and the South East represents around 1.7 times the national average (Westwood et al., 2024). Regional disparities in the UK now surpass those in historically divided countries such as Germany and Italy (Stansbury et al., 2023). By 2014, the UK was home to both the wealthiest city (London) and nine out of the ten poorest cities in Northern Europe (Inequality Briefing, 2014). This stark regional divide has fuelled a vast 'geography of discontent', often cited as a key factor behind the UK's recent political shocks such as the 2016 Brexit referendum (McCann & Ortega-Argilés, 2021).

Evidence from peer countries supports the link between regional inequalities and economic underperformance. For instance, Lasheras and Pellegrino (2024) show that lasting regional inequalities in Italy have hampered long-term growth. This raises a critical question: to what extent have the inequality gains generated by the Big Bang contributed to the UK's economic stagnation?

Figure 14 displays regional Gini coefficients in the UK in 2018, while Figure 15 displays the compound annual growth rate of these regions over the past 25 years (1998-2023) (ONS, 2020). Note that these Gini values measure total wealth inequality rather than consumption inequality, as in the earlier analysis, which explains the scale difference. This purely correlative data reveals an interesting pattern: the most unequal regions today (London and the North East) have experienced relatively slower long-term economic growth over the past 25 years than less unequal regions (Yorkshire and the Humber, the North West, and the West Midlands).

These findings support the literature that highlights the context-specific nature of the relationship between inequality and growth. In the UK, increased regional inequalities appear to have partly

hindered long-term economic growth in some regions. As such, while the Big Bang effectively delivered short-term gains in financial sector productivity and growth, it also deepened regional disparities that likely contributed to the country's prolonged economic slowdown.

Figure 14. UK regional Gini index for total wealth, 2018 (in %)

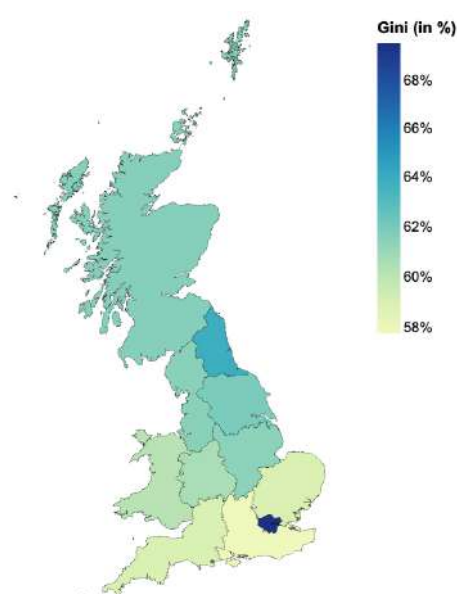
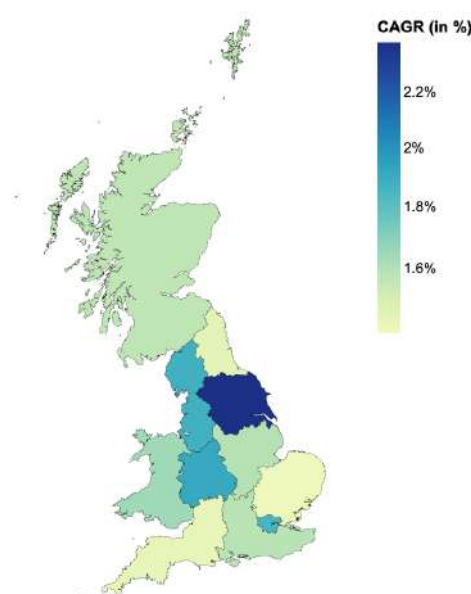


Figure 15. UK regional GDP compound annual growth rate, 1998-2023 (in %)



Note: Regional Gini total wealth inequality ranges from 0 (perfect equality) to 100 (perfect inequality). Regional GDP CAGR is computed over the past 25 years (1998-2023). Northern Ireland is excluded due to missing data.

Source: Own elaboration using ONS data.

B. Policymakers should remain cautious when dealing with financial deregulation

As the current UK government is desperately seeking to address the country's long-run growth slowdown, its attention has unsurprisingly turned towards the financial sector as a potential source of sustained growth. The Chancellor has advocated for further financial liberalisation to avoid unnecessary regulation of financial services (HM Treasury, 2024b). However, as this analysis has elucidated, policymakers must proceed with caution when dealing with financial deregulation. While the 1986 Big Bang entailed positive short-term effects, evidence points towards negative long-term effects through increased inequalities, which could partly explain the UK's recent growth slowdown.

Accordingly, any further efforts to deregulate the financial sector must not only consider the immediate gains but also the longer-term distributional and regional consequences of financial reform. Britain's entrenched North-South regional divide has long been identified as one of the

most significant constraints to inclusive growth in the UK (Stansbury et al., 2023). In this context, further deregulation risks exacerbating this divide, reinforcing inequality, and weakening long-term economic resilience. This study supports calls from academic and policy experts for a cautious, evidence-based approach to financial sector reform (Delaney et al., 2025).

More broadly, this research intends to serve as a cautionary lesson for global policymakers on the risks of financial deregulation. By no means does this study suggest that financial services undermine the economy; quite the opposite, financial services are a strong enabler of economic welfare gains. However, for this to be true, the financial sector must act to support and facilitate investment in the real economy, rather than extracting rents from financial assets. The risks of such behaviour on welfare are substantial (Mazzucato et al., 2023). In the UK, only around 20% of finance is invested in the productive economy today, while the remaining 80% accrues towards the finance, insurance and real estate sector (Mazzucato, 2021).

Finally, some scholars have proposed that Britain should ‘de-financialise’ by reducing the dominance of the financial sector in the economy (Christensen et al., 2016; Karwowski, 2019). This study does not provide direct evidence towards this position, as the effects of financial development on growth appear mainly correlational. However, this study strongly supports the view that thoughtful, inclusive policymaking is an essential prerequisite for finance to meaningfully serve the real economy and contribute to long-term, inclusive growth (Mazzucato, 2025). As such, any policymakers seeking to address the role of the financial sector in the economy must ensure that financial gains are inclusively distributed both across income groups and regions.

VII. CONCLUSIONS

This study has assessed the causal impact of Britain's 1986 Big Bang on inequality and its broader implications for the UK's long-term economic trajectory. Using the synthetic controls method, I find that the Big Bang led to a 5.3 percentage point increase in living standards inequality in Britain, relative to a counterfactual scenario of gradual financial deregulation. Inequality gains rose rapidly until 1990 before stabilising around 6 percentage points. These results are both statistically significant and robust to specification changes, demonstrating strong internal validity (note that findings are not externally generalisable beyond the UK context).

Consequently, the Big Bang elevated the UK's relative inequality ranking by 10 places among peer countries. By 2000, Britain ranked as the second-most unequal high-income economy globally, behind the United States. In the absence of the Big Bang, it would have ranked twelfth. Furthermore, the economic benefits of financial deregulation were highly concentrated, disproportionately accruing to the wealthiest percentiles and a small number of regions. Specifically, 90% of the British population saw a relative decline in wealth growth following the Big Bang, while the top percentiles experienced strong wealth gains. From a regional perspective, correlational evidence shows that London, the South East, and Northern Ireland seem to have disproportionately captured economic gains from the Big Bang, while most other regions have experienced economic stagnation or decline.

Overall, this study raises the possibility that the increased inequality generated by the Big Bang may have contributed to the UK's long-term economic slowdown. The regions that benefited the most from financial deregulation have become the most unequal, and, over time, slower growing. This evidence indicates that while Britain's sudden financial deregulation delivered short-term gains in productivity and financial sector growth, its long-term effects on wealth and regional inequalities may have created large sectoral and regional imbalances in resource allocation, leading to slower economic growth. This area of study deserves further research to inform future policymaking. Indeed, further empirical work remains necessary to understand the effects of inequality gains on the UK's long-term growth trajectory, particularly given the context-specific nature of this relationship (Mdingi and Ho 2021).

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ANNEXES

Table 4. Key financial deregulations in donor pool countries

Country	Deregulation started	Key deregulation events	Liberalised financial market by 1996
Australia	1980	Bank specialisation rules ended (1980), check-like instruments allowed (1986)	Yes
Canada	1967 IR, 1980	Securitisation (1980, 1987), mortgage loan subsidiaries allowed (1980), entry barriers removed (1992)	Yes
Denmark	1982 IR	Bond issuance restrictions removed (1989, 1991 EEC)	—
Finland	1986 IR	Mortgage lending guidance withdrawn (1987, 1989 S)	—
France	—	Unequal rules still present in 1996; EEC implementation (1992)	—
Germany	1967 IR, 1980	EEC implementation (1992), gradual deregulation during 1980s	Yes
Ireland	—	—	—
Italy	1983 IR	Credit ceilings ended (1983), EEC (1993), entry barriers removed (1990, 1993)	—
Japan	1993–1994 IR, 1979	Securitisation and partial liberalisation (1993), still incomplete	—
Netherlands	1980 IR	EEC implementation (1992)	—
New Zealand	1984 IR	Lending controls abolished (1984), stock market liberalised (1986)	—
Norway	1984 IR	Lending controls abolished (1984)	—
Portugal	—	—	—
Spain	—	—	—
Sweden	1985 IR	Lending ceilings abolished (1985)	—
Switzerland	—	—	—
United Kingdom	1980	Minimum lending rate abolished (1981), Big Bang (1986), EEC (1993)	Yes
United States	1971 S, 1982	IR deregulated (1980), thrift restrictions lifted (1980), entry barriers removed (1978, 1995)	Yes

Note: IR: Interest Rate Deregulation, S: Securitisation, EEC: Implementation of the European Union's Second Banking Directive. 'Yes' under the last column means the country was considered to have a liberalised financial market by 1996 according to Williamson and Mahar (1998).

Source: Own elaboration, based on Williamson and Mahar (1998); Girouard and Blöndal (2001); Tanndal and Waldenström (2018).

Table 5. Description of predictor variables

Predictor variables	Source
Inequality indicator	
Gini index (consumption distribution, in %)	World Development Indicators
Economic indicators	
Annual GDP growth	World Development Indicators
Real GDP per capita (constant prices)	World Development Indicators
Exports (% of GDP)	World Development Indicators
Imports (% of GDP)	World Development Indicators
Stock market capitalisation (% of GDP)	Global Financial Development Database
General government final consumption expenditure (% of GDP)	World Development Indicators
Inflation, consumer prices (annual %)	World Development Indicators
Unemployment rate (% of total labour force)	World Development Indicators
Financial openness and regulation indicators	
Chinn-Ito index of financial openness (0-1)	Chinn and Ito 2021
Quinn index, restrictions to capital account (0-100)	Quinn and Toyoda 2008
Quinn index, restrictions to current account (0-100)	Quinn and Toyoda 2008
Taxes on income, profits and capital gains (% of revenue)	World Development Indicators
Political institutions indicators	
Right-wing chief executive party (0-1)	Database of Political Institutions
Electoral proportional representation (0-1)	Database of Political Institutions
British legal origin (0-1)	La Porta et al. 1997
Education and labour market indicators	
Strictness of employment protection (0-6 scale)	Indicators of Employment Protection
Years of schooling	World Development Indicators

Source: Own elaboration.

Table 6. Working dataset descriptive statistics

Variable	Obs	Mean	Std Dev	Min	Max
Year	600	1990.5	11.553	1971	2010
Gini index (0-100)	600	30.936	4.609	19.4	42.6
GDP growth (annual %)	600	2.763	2.451	-8.076	12.147
Real GDP per capita (constant 2015 USD)	600	34380.585	14246.978	11952.151	82481.07
Exports to GDP (% of GDP)	600	35.698	16.262	12.398	103.209
Imports to GDP (% of GDP)	600	34.306	14.04	11.001	86.654
Stock market capitalisation (% of GDP)	600	44.279	74.437	-414.868	283.131
Government expenditure (% of GDP)	600	20.303	4.704	8.068	41.258
Inflation rate (annual %)	600	7.889	22.814	-4.448	373.216
Unemployment rate (% of total labour force)	600	4.38	14.946	-95.337	41.885
Chinn-Ito index of financial openness (0-1)	600	.754	.287	0	1
Quinn index, restrictions to capital account (0-100)	600	82.438	19.358	37.5	100
Quinn index, restrictions to current account (0-100)	600	85.906	17.626	31.25	100
Taxes on income, profits & capital gains (% of revenue)	600	32.992	15.351	5.545	101.595
Right-wing chief executive party (0-1)	600	.412	.493	0	1
Electoral proportional representation (0-1)	600	.788	.409	0	1
British legal origin (0-1)	600	.333	.472	0	1
Strictness of employment protection (0-6)	600	2.057	.815	.587	3.65
Years of schooling	600	10.01	1.572	5.505	12.916

Source: Own elaboration.

Table 7. Covariate balance, values and bias in pretreatment periods

Covariate	Covariate weight (0-1)	Covariate value			SMD	
		Actual UK	Synthetic UK	Average control	Synthetic UK	Average control
Unemployment rate	0.367	-7.336	-6.697	-0.898	-0.087	-0.878
Gini (1984)	0.321	29.200	29.405	30.129	0.007	0.032
Employment protection	0.107	1.345	1.302	2.165	-0.033	0.609
Inflation rate	0.046	11.609	8.545	16.100	-0.264	0.387
Real GDP per capita	0.032	22890.724	25729.776	26451.562	0.124	0.156
UK legal origin	0.024	1.000	0.607	0.286	-0.393	-0.714
Right wing executive	0.023	0.667	0.509	0.324	-0.236	-0.514
Gini (1979)	0.018	27.400	28.658	30.480	0.046	0.112
Quinn index (capital)	0.015	75.000	64.948	66.310	-0.134	-0.116
Quinn index (current)	0.014	76.667	76.408	71.696	-0.003	-0.065
Stock market cap	0.009	40.075	31.139	3.370	-0.223	-0.916
GDP growth rate	0.007	2.235	3.134	3.058	0.402	0.368
Proportional representation	0.006	0.000	0.670	0.824	.	.
Taxation rate	0.002	40.131	59.855	33.527	0.492	-0.165
Exports to GDP	0.002	26.243	28.936	31.056	0.103	0.183
Gini (1974)	0.002	29.000	28.244	31.143	-0.026	0.074
Imports to GDP	0.002	25.783	28.840	32.227	0.119	0.250
Chinn-Ito index	0.001	0.560	0.705	0.553	0.258	-0.013
Government expenditure	0.001	20.499	19.806	20.110	-0.034	-0.019
Years of schooling	0.001	8.460	9.673	8.898	0.143	0.052

Note: 'Weight' is the optimal covariate weight in the diagonal of V matrix, from 0 to 1. 'Synthetic UK' is the weighted average of donor units with optimal weights. 'Average Control' is the simple average of all 20 control countries with equal weights. 'SMD' is the standardised mean difference between treated and control units, from 0 to 1, indicating the level of bias in the control. The closer to 0, the lower the bias.

Source: Own elaboration.